United Kingdom - Money Laundering Regulations and Sector Guidance

Risk assessment, customer due diligence, SAR regime, and the consent (DAML) process

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Classification	SYNTHETIC - HACKATHON TRAINING DATA

This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (UK Money Laundering Regulations 2017, POCA 2002 and JMLSG guidance, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Core duties

- Maintain a documented firm-wide risk assessment, policies, controls and procedures approved by senior management.
- Apply customer due diligence at onboarding, for occasional transactions of 15,000 EUR or more, for transfers of funds above 1,000 EUR, and whenever suspicion arises.
- Appoint a nominated officer to receive internal reports and to make external disclosures.

2. Suspicious activity reporting and consent

A disclosure is made to the national crime agency where a person knows or suspects, or has reasonable grounds to suspect, that property constitutes criminal property. Where the firm wishes to proceed with an act that would otherwise be an offence, it requests a defence against money laundering.

Stage	Statutory period	Effect
Notice period	7 working days	Firm must not proceed while awaiting a response
Moratorium period	31 calendar days	Applies if consent is refused; extendable by court order
Tipping off	Ongoing	Disclosing the existence of a report to the customer is a criminal offence

3. High-risk factors

- Customers established in a high-risk third country listed in schedule, requiring mandatory enhanced due diligence.

- Complex corporate structures using limited partnerships or company service providers with mass-registered addresses.
- Transactions with no apparent economic purpose routed through client accounts of professional service firms.
- Politically exposed persons, including domestic PEPs, with a risk-sensitive approach to seniority and duration since leaving office.

4. Local red flags

- Newly formed limited company at a mass registration address receiving international credits within days of incorporation.
- Payments described as loans between connected companies with no loan agreement and no repayment pattern.
- Personal accounts of students or recent arrivals receiving and forwarding funds within 24 hours - money mule signature.
- Use of solicitor or accountant client accounts to hold funds pending an aborted property transaction.